Income-Based Repayment Plans

Originally effective as of July 1, 2009, this plan (IBR) was designed to cap the monthly payments at a percentage of the borrower's discretionary income based on income and family size. To find out if you qualify, you can access an IBR calculator at *www.studentaid.ed.gov/ibr*. IBR is only available for federal student loans such as Stafford, Grad PLUS, and consolidation loans. IBR is not available for Perkins loans or Direct PLUS loans for parents.

The maximum repayment period is twenty-five years. After twenty-five years, any remaining debt will be discharged. The amount of the debt discharged will be considered taxable income in the year of forgiveness. However, if you are employed full time in public service, the maximum repayment period is reduced to ten years, and the amount forgiven will not be included for tax purposes.

A law was passed in 2010 that cut the monthly maximum payment from 15 percent of discretionary income to 10 percent and accelerated the maximum repayment period from twenty-five years to twenty years. It is only effective for new borrowers of loans on or after July 1, 2014. President Obama subsequently signed an executive order making these new IBR rules available in 2012 for certain borrowers who have at least one federal student loan in 2012 or later and no loans prior to 2008.